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54th Meeting

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CLASSIFICATION CANCELLED BY AUTHORITY OF JCS DECLASSIFICATION BRANCH
BY: [illegible] DATE: JULY 19, 1972

STATE-WAR-NAVY COORDINATING COMMITTEE

Minutes of the Meeting held in Room 285,
The State Department Building,
on Wednesday, 19 February 1947, at 1430.

MEMBERS PRESENT

Maj. Gen. J. H. Hilldring - Assistant Secretary of State for Occupied Areas - Chairman
Mr. Howard C. Petersen - Assistant Secretary of War
Mr. John L. Sullivan - Under Secretary of the Navy

OTHERS PRESENT

State

Dr. G. H. Blakeslee
Mr. Robert W. Barnett
Mr. E. A. Gross
Mr. Edwin Martin
Mr. Erle R. Dickover
Mr. John K. Emmerson
Mr. P. P. Claxton
Mr. Ralph L. Block

War

Maj. Gen. Daniel Noce, CAD
Colonel T. W. Parker, P&O
Lt. Colonel Allan G. Pixton
Mr. D. C. Fahey, CAD

Navy

Rear Admiral E. T. Wooldridge, USN
Captain R. L. Dennison, USN
Captain M. J. Tichenor, USN

SECRETARIAT

Mr. H. W. Moseley, Secretary (State)
Mr. J. P. Gardiner (State)
Colonel W. A. Schulgen, GSC (War)
Lt. Colonel V. F. Field, GSC (War)
Captain V. L. Lowrance, USN (Navy)

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1. MINUTES OF THE PREVIOUS MEETING

The Minutes of the 53rd Meeting were approved without discussion.

2. POLICY TOWARD ANNOUNCEMENT OF THE PROVISIONS FOR THE REVIEW OF THE NEW JAPANESE CONSTITUTION (SWNCC 228/13 - 228/14)

There was considerable discussion concerning the advisability of publication by FEC of its review authority. The WAR MEMBER stated he was against publication either in or outside of Japan. The STATE MEMBER introduced an amendment to SWNCC 228/13 which would permit publication outside of Japan of the review authority.

THE COMMITTEE, with the WAR MEMBER abstaining from voting, approved SWNCC 228/13 after amending as follows:

a. "4. It is concluded that the U.S. position should be as follows:

"The U.S. Government withdraws its objection to the publication outside of Japan of the policy decision contained in FEC 031/41 and will not oppose a motion in the FEC to publish the decision outside of Japan provided the release of the decision to the press by the FEC will not be made until 48 hours after receipt of notification from SCAP of the receipt of FEC's decision."

b. Insert the following as paragraph 5 c:

"SCAP be notified by the JCS of the above conclusion."

3. PUBLICATION OF FAR EASTERN COMMISSION POLICY DECISIONS (SWNCC 350)

The STATE MEMBER pointed out the dangers of over-emphasizing the security angle relating to government and inter-governmental decisions and said that he believed that as a matter of general policy it was best to inform the public concerning these decisions as soon as practicable.

THE COMMITTEE approved SWNCC 350 and agreed as follows:

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a. To substitute the words "SWNCC direct the SWNC Subcommittee for the Far East" for the words "SWNCC should appoint a special ad hoc Committee" in paragraph (8), section (B), page 3.

b. The Subcommittee should take a liberal attitude as to the publication of the FEC policy decisions and should recommend those for publication and those which should be withheld along with the reasons therefor.

4. REFORM OF THE JAPANESE WRITING SYSTEM AND LANGUAGE PROBLEMS (SWNCC 298 - 298/1)

THE COMMITTEE approved SWNCC 298/1.

5. INTERCHANGE OF TECHNICAL INFORMATION WITH GREAT BRITAIN (SWNCC 206/40)

After a short discussion, THE COMMITTEE approved SWNCC 206/40, subject to the following amendment:

Eliminate paragraph 2, page 156.

6. UNITED STATES INITIAL POST-DEFEAT POLICY RELATING TO JAPAN (SWNCC 150/10)

After a short discussion, THE COMMITTEE approved SWNCC 150/10.

7. FOOD POLICY FOR JAPAN (SWNCC 331/2 - 331/3)

After a short discussion, THE COMMITTEE approved SWNCC 331/3, subject to the following amendment:

a. Page 22, paragraph 1 to read as follows:

"1. The Far Eastern Commission as a matter of policy hereby adopts the following policies with respect to the supply of food for civilian relief in Japan, the substance of which was transmitted by the United States Government as U.S. policy to the Supreme Commander for the Allied Powers in October and November 1945, to be in effect so long as the present acute world food shortage exists:"

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8. PSYCHOLOGICAL WARFARE (SWNCC 304 - 304/1)

The WAR MEMBER withdrew his previous request that the Joint Chiefs of Staff and the Central Intelligence Group be requested to defer action on SWNCC 304/1.

THE COMMITTEE agreed to defer action on SWNCC 304/1 pending receipt of comment from the Joint Chiefs of Staff and from the Central Intelligence Group.

9. REVISION OF YEN-DOLLAR MILITARY CONVERSION RATE (SFE 184)

The STATE MEMBER reported that:

"The Treasury Department is not disposed to offer further objections if the State, War, and Navy Departments and SCAP should decide that the best interests of the occupation objectives of the United States Government in Japan are served by increasing the military conversion rate from 15 yen to $1 to 50 yen to $1."

The STATE MEMBER also reported that the Treasury Department was agreeable to the same rate for the Korean yen on an interim basis.

The WAR MEMBER stated that for troop morale purposes it would be advisable to have the same exchange rate prevail in Korea with the understanding that the rate for Korea is an interim rate subject to further study.

THE COMMITTEE approved SWNCC 343/1 (SFE 184) provided the message in Appendix "C" thereof be amended to read as follows:

"Reurlet AG 123.7, 7 Nov. 1946-FD, subject 'Revision of Yen Dollar Conversion Rate.'

"Part 1. State, War and Navy Depts. have agreed and you are hereby authorized to change the military conversion rate from 15 yen equals 1 dollar, to ~~40~~ 50 yen equals 1 dollar, for both Japanese and Korean yen. ~~If you agree respect to time for implementing this action,~~ Effective date for new rate will be ~~1 Feb. 1947.~~ established by you and should be reported prior to implementation. New rate of ~~40~~ 50 yen equals 1 dollar will be used on or after effective date for

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conversion of military payment certificates, dollar currency, dollar instruments and dollar remittances into Japanese and Korean yen; and any other appropriate purpose for which the 15 to 1 military conversion rate is presently employed.

"Part 2. Change in military conversion rate to full extent requested by you might, it is considered here, have some results contrary to your occupation objective of controlling inflationary trends in Japan and Korea, and further that a reasonable margin should be preserved so that the military conversion rate will not place a lower value on the yen in terms of dollars than will be established by the commercial rate of exchange when ultimately set. It is believed also that the objectives cited by you, can in part be achieved by other means as indicated Part 3 this radio.

"Part 3. For the purpose of making available to members of the occupation forces at reasonable prices, such quantities of indigenous items as may be required to meet their reasonable needs, ~~it is recommended that you~~ you are authorized within your discretion to institute a program as follows:

"The Japanese Govt. should be directed to require Japanese producers of indigenous items which can be purchased by the Central Purchasing Office for sale to occupation personnel, to furnish such items at yen prices, which when converted into dollar type currency, will enable them to be sold by the PX's at prices which are reasonably in line with similar commodities in the United States. Any difference between cost of production plus a reasonable profit to such producers, and the price at which the goods are sold to the Central Purchasing Office, should be paid by the Japanese Govt. as an occupation cost. As a supplementary measure, Japanese producers should be required to devote such portions of their production capacities to supplying the Central Purchasing Office as may be necessary to meet the reasonable

requirements of the occupation forces, insofar as this can be accomplished without depriving the Japanese economy of goods essential to its minimum peaceful needs.

"Part 4. The possibility of subsidizing services has bee examined; however, based on available information here as well as information provided to date by SCAP it is believed that the ~~40~~ 50 to 1 rate will enable occupation personnel and their dependents to procure adequate services at reasonable costs to meet their needs.

"Part 5. Request you coordinate fully with other Allied military forces to whom new rate will be applicable.

"Part 6. Rate for Korea is an interim rate subject to further study."

10. SECRETARIAL SERVICES FOR THE COMMITTEE OF THREE

THE COMMITTEE agreed to direct the Secretariat to undertake the secretarial services requested by the Committee of Three, and further that future SWNCC Meetings would be held on Tuesday afternoon instead of Wednesday in order to pass matters for resolution up to the three Secretaries whenever necessary.

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